



SATYA KUMAR, CORPORATE VICE PRESIDENT, INVESTOR RELATIONS AND TREASURY

Thank you, and welcome to Micron Technology's fiscal fourth-quarter (Q4) 2026 financial conference call. On the call with me today are Sanjay Mehrotra, our chairman and CEO, and Mark Murphy, our CFO. Today's call is being webcast from our Investor Relations site at investors.micron.com, including audio and slides. In addition, the press release detailing our quarterly results has been posted on the website, along with the prepared remarks for this call.

Today's discussion contains forward-looking statements that are subject to risks and uncertainties. These forward-looking statements include statements regarding our future financial and operating performance and our business model, as well as trends and expectations in our business, customers, market, industry, products, and regulatory and other matters.

These statements are based on our current assumptions, and we assume no obligation to update these statements. Please refer to our most recent financial reports on Forms 10-K, Forms 10-Q and our other filings with the SEC (U.S. Securities and Exchange Commission) for more information on the risks and uncertainties that could cause actual results to differ materially from expectations. Today's discussion of financial results is presented on a non-GAAP (generally accepted accounting principles) financial basis unless otherwise specified. A reconciliation of GAAP to non-GAAP financial measures can be found on our website.

I'll now turn the call over to Sanjay.

SANJAY MEHROTRA, CHAIRMAN AND CHIEF EXECUTIVE OFFICER

Thank you, Satya.

Micron delivered an exceptional fiscal Q4, with significant records in revenue, gross margin and EPS (earnings per share), each exceeding the high end of our guidance. Fiscal 2026 was an outstanding year. Revenue was 3 1/2 times last year's record, with data center revenue up fourfold. Micron's DRAM revenue for the fiscal year 2026 surpassed \$100 billion.

I am thankful for the above-and-beyond efforts of our employees around the world that made these extraordinary results possible. In recognition of these efforts and Micron's strong execution, we increased fiscal 2026 incentive compensation for every global team member, reinforcing our performance-driven culture and aligning team member success with long-term shareholder value creation.

As strong as fiscal 2026 was, we expect fiscal 2027 to be even better. Industry demand has strengthened since our last earnings call, and we expect memory and storage supply-demand conditions to be much tighter in fiscal 2027 and 2028 than they were in 2026.



The strategic importance of memory in the super intelligence era

AI is becoming Super Intelligence, and memory enhances this intelligence and the competitiveness of our customers' platforms. AI applications across end markets, whether using open-source or closed-source models, are run on a variety of competing customer platforms. These platforms all share one important characteristic: Their value proposition is enhanced by the performance and capacity of memory and storage. Running an AI application on a platform with greater memory capability enables more scalable growth in usage, improves the end-user experience and increases the value users get from AI applications.

The strategic importance of memory to our customers also provides greater differentiation opportunities for Micron than at any time in our history. As we address AI-driven demand for an increasingly complex set of products across the memory hierarchy, we have opportunities to deliver differentiated performance and quality, time-to-market advantages and geographically diversified supply, including DRAM made in the U.S. We also have opportunities for richer product mix relative to our competitors with our focus on higher-value solutions. Micron's technology leadership, strong product portfolio, strategic customer agreements and manufacturing excellence position us to capitalize on these opportunities.

Technology and product leadership

Micron is the industry's technology leader. Our 1γ (1-gamma) DRAM node and G9 NAND nodes are our largest production nodes today and are on track to become the highest-volume nodes in Micron's history. Development of our next-generation DRAM and NAND technology nodes is also progressing well, and they are on track to begin volume production in the second half of calendar 2027.

We are leveraging these technology nodes and our advanced packaging capabilities to deliver leadership products across the memory hierarchy, such as industry-leading HBM, high-capacity SOCAMM, high-capacity and high-performance DDR modules, and data center SSD products.

Manufacturing expansions

We are focused on our global manufacturing expansions to help address customer demand growth through the end of this decade and beyond.

Micron is investing to provide long-term U.S.-based supply assurance for DDR, LPDRAM and HBM products through our fabs in Virginia, Idaho and New York to support our customers across a variety of markets, including data center, PC, mobile, automotive, aerospace and defense, medical, humanoid robotics and other industrial and consumer markets. During the last quarter, we celebrated a concrete pour milestone for our first New York fab, with initial wafer output expected in calendar 2030. Our ID1 fab is on track to commence wafer output in mid-calendar 2027, and ID2 is on track to commence wafer output in late calendar 2028.



In fiscal Q4, we held a groundbreaking ceremony for our DRAM fab expansion in Japan, with initial output expected in late calendar 2028 to support technology node transitions. In Taiwan, we are on track for meaningful product shipments from our Tongluo facility in mid-calendar 2027. In Singapore, cleanroom preparation is ahead of plan at our HBM advanced packaging facility, with initial output expected in early calendar 2027. Also, construction is on track for our new NAND facility in Singapore to begin output in the second half of calendar 2028.

Production from new DRAM and NAND fabrication facilities takes time to ramp and gradually becomes more meaningful starting a few quarters after initial output.

Strategic customer agreements update

Micron's strategic customer agreements (SCAs) accelerate the transformation of our business. These multi-year take-or-pay agreements sharpen our long-term supply planning and enhance the durability and predictability of our strong financial performance. Further, they provide our customers supply assurance and deepen technology roadmap collaboration. This, in turn, helps our customers invest more confidently in their business and enables their end consumers to benefit from their products and services.

To date, we have signed 26 SCAs, which we currently estimate to be over 35% of our revenue through 2030. Three-quarters of this estimated revenue has a defined pricing framework, a majority of which have pricing bands with floor and ceiling prices. The remaining quarter of this SCA revenue expectation has pricing negotiated periodically based on market prices. Customers want SCA-assured supply beyond 2030, and we have now signed SCAs that extend into 2031, as well as one-year extensions to 2031 for two agreements. Any new discussions on SCAs where pricing is involved are negotiated with higher pricing based on prevailing market conditions and outlook. For the 26 signed SCAs and extensions, financial commitments from customers have increased to \$32 billion, the vast majority of which are cash deposits. These financial commitments reflect our customers' confidence in their long-term demand for memory and storage.

End markets

Turning to our end markets. Please see our earnings press release for highlights across our high-capacity DDR and LP server DRAM, data center SSD, PC, smartphone and physical AI product portfolios.

Data center

We expect server unit growth in the high-teens percentage range in both calendar 2026 and 2027. This strong server unit growth is supported by a modestly lower rate of content growth than prior expectations, amid tight memory supply. Growing model parameter size, longer context lengths and higher concurrency continue to increase the memory and storage content required to execute AI workloads efficiently.



Micron is leveraging our technology leadership and manufacturing excellence to deliver innovative products across the memory hierarchy to data center customers.

In HBM, our revenue in fiscal Q4 2026 grew faster than total company revenue in the quarter, as we ramp HBM shipments across a growing number of customers. We have completed agreements for the vast majority of our calendar 2027 HBM bit supply with significant price increases year over year, narrowing the gross margin gap with conventional DRAM. We continue to execute well on our ramp of HBM4. We have a strong roadmap for future HBM products and are proud to be working with NVIDIA on the industry's first custom-HBM4E implementation, NVHBM, to be adopted on next generation of GPUs and NVLink Fusion platforms.

In NAND, AI context memory storage used for KV cache offload and HDD displacement opportunities are expanding the addressable market for SSDs. Data center SSD revenue in fiscal Q4 was nearly \$10 billion, more than 10 times the year-ago quarter, and was over two-thirds of total company NAND revenue. We are on track to deliver the fifth consecutive year of record market share in data center SSD in calendar 2026. This performance is driven by the strength of our NAND technology leadership, end-to-end data center storage portfolio and close collaboration with customers, which has resulted in design wins across the largest data center deployments.

PC and mobile

PC and mobile industry revenue remain on track to grow this calendar year, driven by strength at the premium end of the market, despite potential double-digit overall unit declines in both markets. OEMs (original equipment manufacturers) continue to introduce new AI capabilities in flagship PCs and smartphones, driving robust demand for higher-performance devices with increased DRAM and NAND content.

Micron is focused on these premium segments and is well positioned to support customers as they expand edge AI capabilities with our industry-leading memory and storage portfolio. Nearly half of MCBU (Mobile and Client Business Unit) revenue in fiscal Q4 was generated by 1y products, as customers accelerate qualifications and adopt our latest technology, which delivers lower power consumption and higher performance.

Physical AI

Autonomous vehicles are the first major deployment of physical AI, which we believe will expand over time to humanoid robots and other intelligent autonomous systems. These increasingly complex systems require substantially higher performance and more power-efficient memory and storage to operate in real time. Memory content in Level 4 and higher autonomous vehicles typically exceeds 200GB, while storage content reaches multiple terabytes, each more than an order of magnitude greater than in today's Level



2+ and Level 3 semi-autonomous vehicles. Humanoid robots are expected to have comparable memory and storage requirements to autonomous vehicles. With the anticipated increase in both units and memory content, physical AI can become a significant driver of memory and storage demand by the end of this decade. Several physical AI customers are sampling our next-generation products, and we are increasing investments in our technology roadmap to ensure we are prepared to capitalize on this opportunity.

Market outlook

Now turning to market outlook.

We expect memory and storage supply-demand conditions to be much tighter in calendar 2027 and 2028 than they were in 2026.

In NAND, for calendar 2026, we expect industry bit shipments to grow in the low-20s percentage range, slightly above our prior expectations. We expect Micron NAND supply to grow less than industry supply growth in calendar 2026. For calendar 2027 and 2028, we expect industry NAND bit shipments to grow approximately in the mid-20s percentage range and the industry to remain supply constrained in both years.

In DRAM, for calendar 2026, we expect industry bit shipments to grow in the mid-20s percentage range. We expect Micron DRAM supply to grow approximately in line with industry supply growth. For calendar 2027 and 2028, we expect industry DRAM bit shipments to grow approximately in the low-20s percentage range and the industry to remain supply constrained in both years. We expect industry HBM bit shipments to grow faster than conventional DRAM through calendar 2028.

The structural gap between DRAM supply and demand growth rates is resulting in ongoing supply tightness, and cleanroom additions are required to augment node-transition supply growth and help narrow the gap. Even with additional industry DRAM cleanroom space plans, with robust demand trends including new upside requests from customers, we do not have line of sight to when supply and demand will return to balance.

Given the need for DRAM cleanroom space and supported by greater visibility from SCAs into our demand through the end of the decade and beyond, we plan to increase our capex (capital expenditures) in fiscal 2027 versus prior plans. A majority of the increase is for construction capex, most of which is to help accelerate clean room space availability in late calendar 2028 and beyond. We are also working to optimize production from available cleanroom space, which is resulting in some pull-forward of equipment spending. Mark will provide more details on capex. As we make these cleanroom space investments, we will remain disciplined in our approach and anticipate ramping equipment capacity appropriately with our demand and the market environment.



Leadership appointments

To further accelerate execution and innovation across the company, last month we announced leadership appointments. Manish Bhatia has been appointed to president and chief operating officer, and Dr. Scott DeBoer has been appointed to president and chief technology and products officer.

Manish leads Micron's business units and global operations, with accountability for our operating P&L (profit and loss). In his role as COO, Manish has end-to-end responsibility for demand through supply, enabling faster, more integrated decision-making and stronger alignment across the organization to meet our customers' evolving needs.

Scott leads Micron's innovation, technology and products organization. In his role as chief technology and products officer, Scott is responsible for advancing Micron's industry-leading memory and storage roadmaps, accelerating innovation to meet customers' rapidly evolving requirements, and overseeing Micron Research Labs, a global flagship research hub dedicated to breakthrough memory and compute technologies.

I'll now hand it over to Mark for our fiscal Q4 financial results and outlook.

MARK MURPHY, EXECUTIVE VICE PRESIDENT AND CHIEF FINANCIAL OFFICER

Thank you, Sanjay, and good afternoon everyone.

Opening

Micron delivered exceptional results to close out the fiscal year, with fiscal Q4 revenue, gross margin and EPS all exceeding the high end of our guidance. For the full year, we achieved record revenue of \$133.2 billion, up 256% year over year. Fiscal 2026 gross margins expanded to 81.1%, a 40-percentage point improvement from fiscal 2025, and EPS increased 811% year over year to \$75.52.

RPO

To date we have signed 26 SCAs in total, and our remaining performance obligations, or RPO, is approximately \$150 billion. All SCAs have take-or-pay contracted volumes, and RPO reflects the contract value for only SCAs that have a determined pricing framework, which can be either a fixed price or subject to a pricing floor and ceiling. RPO is based on committed volumes and minimum pricing and is inherently conservative. As mentioned in our last earnings call, even at floor prices, we expect margins meaningfully above any prior cycle peak margins. We expect revenue to well exceed the associated RPO over the terms of the agreements.



Revenue

Consolidated fiscal Q4 revenue was \$54.2 billion, up 31% sequentially and up 379% year over year. Fiscal Q4 revenue was our sixth consecutive quarterly revenue record.

DRAM

Fiscal Q4 DRAM revenue was a record \$39.8 billion, up 343% year over year, and represented 73% of total revenue. Sequentially, DRAM revenue increased 27%. Bit shipments were up mid-single-digit percentage range. Prices increased high-teens percentage range, driven by tight DRAM industry conditions.

NAND

Fiscal Q4 NAND revenue was a record \$14.1 billion, up 526% year over year, and represented 26% of total revenue. Sequentially, NAND revenue increased 42%. Bit shipments increased approximately 10%. Prices increased approximately 30%, driven by tight NAND industry conditions.

Gross margin

Consolidated gross margin for fiscal Q4 was 87.0%, up 210 basis points sequentially. This improvement was driven primarily by higher pricing and strong execution, partially offset by mix.

Operating results

Financial performance by business unit

Now turning to quarterly financial performance by business unit.

Cloud Memory Business Unit (CMBU) revenue was a record \$16.3 billion and represented 30% of total company revenue. CMBU revenue was up 18% sequentially, driven by higher pricing and bit shipments. CMBU gross margins were 83%, flat sequentially, driven by higher pricing, offset by higher HBM mix.

Core Data Center Business Unit (CDBU) revenue was a record \$18.0 billion and represented 33% of total company revenue. CDBU revenue was up 56% sequentially, driven by higher pricing and bit shipments. CDBU gross margins were 90%, up 290 basis points sequentially, driven by higher pricing and favorable mix.

Mobile and Client Business Unit (MCBU) revenue was a record \$13.1 billion and represented 24% of total company revenue. MCBU revenue was up 14% sequentially, driven by higher pricing, partially offset by lower bit shipments. MCBU gross margins were 90%, up 260 basis points sequentially, driven primarily by higher pricing and favorable mix.



Automotive and Embedded Business Unit (AEBU) revenue was a record \$6.8 billion and represented 13% of total company revenue. AEBU revenue was up 47% sequentially, driven by higher pricing and higher bit shipments. AEBU gross margins were 84%, up 470 basis points sequentially, driven by higher pricing.

Opex

Operating expenses in fiscal Q4 were \$2.6 billion, up \$1.1 billion quarter over quarter. The sequential change was primarily due to the increase in incentive compensation for every global team member, along with our decisions to contribute \$300 million to community investments.

Operating income

We generated operating income of \$44.6 billion in fiscal Q4, resulting in an operating margin of 82.3%, up 110 basis points sequentially and 47 percentage points year over year.

Taxes

Fiscal Q4 taxes were \$6.8 billion on an effective tax rate of 15%.

Earnings per share

Non-GAAP diluted earnings per share in fiscal Q4 was \$33.42, up 33% sequentially.

Cash flow and capital expenditures

Turning to cash flow and capital expenditures, in fiscal Q4, operating cash flows were \$44.0 billion. Capital expenditures were \$10.8 billion, resulting in free cash flow of \$33.2 billion. As noted in previous disclosures, customer cash deposits associated with SCAs are reported within financing activities and therefore do not affect our free cash flow. Customer cash deposits received during fiscal Q4 were \$12.3 billion.

Inventory

Ending inventory for fiscal Q4 was \$10.4 billion, with days of inventory (DIO) at 129, an increase of nine days sequentially. The increase in DIO includes the effect of node end-of-life-related build-ahead and manufacturing-related incentive compensation in fiscal Q4 that was absorbed into inventories. Our inventory levels and supply remain extremely tight, and we expect DIO to decline in the coming quarters.

Total cash/debt

We reached record levels of cash and investments of \$73.5 billion at quarter end. Customer cash deposits on our balance sheet at the end of fiscal Q4 were \$12.7 billion. SCA cash deposits are unrestricted and will



be returned to customers over time, toward the latter half of each agreement's term, assuming minimum purchase requirements are met.

During fiscal Q4, we reduced debt by approximately \$500 million, including a note redemption that reduced senior notes by approximately \$300 million. The weighted average maturity on our outstanding debt is approximately nine years. We closed the quarter with \$5.2 billion of debt and a net cash balance of \$68.3 billion.

During the quarter, we received two credit rating agency upgrades and are now rated at BBB+ or equivalent with all three major credit rating agencies. Our balance sheet has never been stronger, and we expect it to strengthen further even as we increase investment in technology and needed capacity. As noted previously, we intend to increase our capital return from Dec. 9, 2026, the second anniversary of the signature of our definitive CHIPS agreements. Over time, we expect to return 100% of our excess cash to shareholders.

Guidance

Now turning to our guidance.

We expect FQ1 revenue to be a record \$61.5 billion, plus or minus \$1.5 billion; gross margin to be approximately 86.25%; and operating expenses to be approximately \$2.06 billion. Based on a share count of approximately 1.15 billion shares, we expect EPS to be \$38.15 per share, plus or minus \$1.00.

We expect fiscal 2027 to be another record year, with sequential revenue growth each quarter. Consistent with projected strong execution and record company financial performance, we expect fiscal 2027 to have higher incentive compensation levels.

We anticipate fiscal Q1 to be the floor for gross margins in fiscal 2027. As Sanjay mentioned, we made a decision to increase fiscal 2026 incentive compensation in fiscal Q4. Most of the increase in fiscal 2026 incentive compensation pertaining to manufacturing was absorbed into inventories in fiscal Q4. As a result, the effects from the sale of these higher cost inventories principally impact fiscal Q1 gross margin. Fiscal Q2 benefits from less of this fiscal Q4 related compensation expense, but this benefit is offset by the impact of higher fiscal 2027 incentive compensation. We expect higher gross margins beyond fiscal Q1 for the remainder of fiscal 2027, with a more moderate rate of price increases.

We project operating expenses to increase by approximately \$2.5 billion in fiscal 2027, primarily from higher R&D (research and development) to support an unprecedented set of opportunities in memory and storage and from higher incentive compensation plans.

We expect a fiscal Q1 and fiscal year 2027 tax rate of around 15.5%.



Micron continues to invest in a disciplined manner across our global footprint to address customer demand. As a reminder, our capex is net of anticipated government incentives. In fiscal Q1, we project capex of around \$11.5 billion and anticipate first-half fiscal 2027 capex to be approximately \$25 billion. We project capex to be higher in the second half of fiscal 2027. We expect a meaningfully higher growth rate in construction capex as compared to equipment capex in fiscal 2027.

Before I close, I would also like to add my thanks to all Micron global team members for their focus on technology and product innovation and disciplined execution that make these strong results and outlook possible.

I'll now turn it over to Sanjay to close.

SANJAY MEHROTRA, CHAIRMAN AND CHIEF EXECUTIVE OFFICER

Closing

Thank you, Mark.

Super Intelligence is creating the most compelling opportunity for Micron in its history. Fiscal 2026 was an outstanding year, and we expect fiscal 2027 to be even better. As we celebrate the 48th anniversary of Micron's founding, I would like to acknowledge the nearly five decades of innovation, disciplined execution and perseverance that have prepared Micron for this moment.

We will now open for questions.